

ways:

- Anchoring, insufficient adjustment, underreaction
- Confirmation bias
- Herding, feedback trading, overreaction
- Conservatism, representativeness
- Overconfidence, self-attribution
- Slow diffusion of information
- Disposition effect

ANCHORING AND UNDERREACTION

Anchoring is the tendency to overweight the importance of the first information that we learn. Tversky and Kahneman (1974) demonstrated that people anchor their views to past data and are reluctant to adjust their views to new information. According to Meub and Proeger (2014), anchoring can occur on a social dimension as well on the individual level. Social anchoring can increase pressure toward conformity and acceptance of the status quo.

Anchoring of whatever kind leads to inertia. This can cause investors to underreact to news, which keeps prices below their fair value. Once price trends do finally develop, they remain strong for some time as prices catch up to their fair value.

CONFIRMATION BIAS

Closely related to anchoring is confirmation bias, which is the tendency to overemphasize the importance of information that confirms our views. Confirmation bias is perhaps the oldest known behavioral heuristic. The English philosopher Francis Bacon identified confirmation bias in 1620: